ble principles, and it would invite other questions too. See, *e. g.*, *SEC* v. *Jarkesy*, 603 U. S. 109, 123–125 (2024) (holding that, when the SEC seeks penalties, the Seventh Amendment entitles the defendant to a jury trial). But none of this means, as Mr. Sripetch suggests, that we should hold the SEC's disgorgement remedy requires proof of pecuniary loss, a requirement foreign to *Liu* and to traditional equitable principles alike.

Mr. Sripetch's *amici* offer one more way still in which, they say, a decision for the SEC in this case could risk transforming disgorgement into a penalty. They point to the traditional equitable principle that disgorgement is appropriate only in cases where a defendant has violated a victim's legally protected rights. See, *e. g.*, Brief for Chamber of Commerce of the United States of America as *Amicus Curiae* 11–12 (citing Third Restatement § 51, Comment *a*). And they express concern that the Commission might try to seek disgorgement even for securities-law violations that do not invade the legally protected interests of any investor. See *id.*, at 15–20. But that worry, too, is beside the point in this case for, as it comes to us, Mr. Sripetch has not disputed that his victims "suffer[ed] a violation of their legally protected interests." 154 F. 4th, at 986, n. 6.

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Because traditional equitable principles do not require a showing of pecuniary loss to justify a disgorgement award and nothing in *Liu* teaches otherwise, the judgment of the Ninth Circuit is affirmed.

It is so ordered.

JUSTICE THOMAS, concurring.

The Court correctly holds that the Securities and Exchange Commission can seek disgorgement as a remedy for securities fraud without showing that the victims suffered pecuniary harm. The Court assumes without deciding that

disgorgement is an equitable remedy, even after Congress amended the statute to separate disgorgement from equitable remedies. In a future case, we should recognize that disgorgement is now a legal remedy for which the Seventh Amendment requires a jury trial.

I

Disgorgement generally means the "act of giving up something (such as profits illegally obtained) on demand or by legal compulsion." Black's Law Dictionary 588 (12th ed. 2024). But, disgorgement has "never been a precise legal term," *SEC* v. *Hallam*, 42 F. 4th 316, 327 (CA5 2022), in part because it "has no basis in historical practice," *Liu* v. *SEC*, 591 U. S. 71, 95 (2020) (THOMAS, J., dissenting). This lack of pedigree causes confusion as to whether "disgorgement" refers to an "equitable" remedy or a "legal" one requiring a jury trial. See S. Bray, Fiduciary Remedies, in The Oxford Handbook of Fiduciary Law 454 (2019) (Bray, Fiduciary Remedies) (noting that "[s]ometimes" disgorgement refers to "any gain-based equitable remedy," but "other times" the term is used to refer to "legal relief").

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Lower courts created the disgorgement remedy for securities-law violations in the 1970s. See *ante*, at 558. In 1971, the Second Circuit became the first to hold that the SEC could pursue a "restitution of profits" remedy based on a violation of the securities laws. *SEC* v. *Texas Gulf Sulphur Co.*, 446 F. 2d 1301, 1307. The Second Circuit soon began to call this remedy "disgorgement." *SEC* v. *Manor Nursing Centers, Inc.*, 458 F. 2d 1082, 1105 (1972). It recognized that no statute "specifically authorize[d]" this new remedy, yet it believed that courts had equitable authority to create new remedies to deter securities-law violations. *Id.*, at 1103–1104; but see *Alexander* v. *Sandoval*, 532 U. S. 275, 286 (2001). Disgorgement "then leaked from that laboratory and spread rapidly to each regional circuit." *Hallam*, 42 F. 4th, at 327. In 2002, Congress amended the Exchange Act

and authorized the SEC to pursue "any equitable relief that may be appropriate or necessary for the benefit of investors." § 305, 116 Stat. 779. The SEC began invoking this new provision, 15 U. S. C. § 78u(d)(5), as a statutory basis for the disgorgement remedy that it had already pursued for decades.

This Court eventually accepted disgorgement as an equitable remedy under § 78u(d)(5) in 2020. In *Liu* v. *SEC*, this Court held that, despite disgorgement's "relatively recent vintage" and "'"protean character,"'" it was a traditional equitable remedy authorized by § 78u(d)(5)'s general provision for equitable relief. 591 U. S., at 76, n. 1, 80; see also *id.*, at 94 (THOMAS, J., dissenting). The Court also emphasized that disgorgement would need to comply with traditional equitable rules, such as the duty to return disgorged funds to victims, at least when doing so was "feasible." See *id.*, at 87–90 (majority opinion); see also *ante*, at 559–560.

But, less than a year later, Congress amended the Exchange Act. § 6501, 134 Stat. 4625. Congress added a new subsection—§ 78u(d)(7)—authorizing the SEC to seek "disgorgement." *Id.*, at 4626. A separate subsection conferred on federal district courts the power to "require disgorgement . . . of any unjust enrichment." § 78u(d)(3)(A)(ii). And, Congress set different limitations periods for "disgorgement" and "equitable remedies." §§ 78u(d)(8)(A), (B). "Disgorgement" is subject to either a 5- or 10-year limitations period depending on the underlying violation, § 78u(d)(8)(A), while "any equitable remedy" must be sought within 10 years, § 78u(d)(8)(B).

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II

The Seventh Amendment requires a jury trial when the SEC seeks disgorgement because Congress has now made disgorgement a legal remedy, not an equitable one.

A

The Seventh Amendment provides that "the right of trial by jury shall be preserved" in "Suits at common law." "By

common law," the Constitution means "suits in which *legal* rights" are adjudicated, "in contradistinction to those where equitable rights alone were recognized, and equitable remedies were administered." *Parsons* v. *Bedford*, 3 Pet. 433, 447 (1830) (opinion for the Court by Story, J.).

History informs the distinction between law and equity. At the founding, courts were principally divided into common-law courts and equity courts.[1] Common-law courts could "entertain suits only in a prescribed form, and they [could] give a general judgment only in the prescribed form." 1 J. Story, Equity Jurisprudence § 27 (13th ed. 1886) (Story). Equity courts, by contrast, could "give relief in *extraordinary* cases, which are *exceptions* to general rules." The Federalist No. 83, p. 505 (C. Rossiter ed. 1961) (A. Hamilton) (some emphasis deleted; footnote omitted).

Equity courts thus provided different remedies from law courts. The "essential characteristic of Equity procedure . . . is that it begins with a petition . . . to secure justice where it would not be secured by the ordinary and existing processes of law." G. Adams, The Origin of English Equity, 16 Colum. L. Rev. 87, 91 (1916); see also L. Smith, Common Law and Equity in R3RUE, 68 Wash. & Lee L. Rev. 1185, 1195 (2011) (describing the core use of equity as a "case where the plaintiff has a legal right and yet goes to Equity for some remedy that the common law cannot provide"). So, for example, common-law courts could find a breach of contract and provide the general legal remedy to the harmed party, "damages for the breach." 1 Story § 30. But, when traditional legal remedies would be inadequate, equity courts

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[1] England maintained separate law and equity courts until 1875, while in America, many States initially established separate equity courts before some began to fuse law and equity in the mid-19th century. S. Bray & E. Sherwin, Remedies: Cases and Materials 424, 426, 439 (4th ed. 2024). The federal district courts adjudicated claims under law and equity separately until the adoption of the Federal Rules of Civil Procedure in 1938. *Id.*, at 439–441.

could provide more exceptional relief to maintain the status quo or ensure fairness, such as by compelling specific performance of the contract or issuing an "injunction to prevent wrongs." *Ibid.* And, consistent with equity's "aim of exact justice," S. Bray, Punitive Damages Against Trustees? in Research Handbook on Fiduciary Law 213 (D. Smith & A. Gold eds. 2018), "it is against the general principles of equity to aid in the enforcement of penalties or forfeitures," 2 Story § 1494. In short, equity provided exceptional relief tailored to the unique circumstances of the harmed party to achieve fairness when the remedies available at law were inadequate to do so. See 1 *id.*, §§ 27–33, 59, 76; S. Bray, Equity, Law, and the Seventh Amendment, 100 Texas L. Rev. 467, 485, 488–489 (2022).

The Seventh Amendment guarantees a jury trial for "the sort[s] of suit[s] historically adjudicated before common-law courts," but not for "the stuff of equity . . . jurisdiction." *SEC* v. *Jarkesy*, 603 U. S. 109, 151 (2024) (GORSUCH, J., concurring). When parties seek (among other things) money damages, monetary relief in legal restitution, or monetary penalties, they seek "prototypical" legal relief and are entitled to a jury trial under the Seventh Amendment. *Id.*, at 123 (majority opinion). By contrast, when parties seek particular remedies that merely "return unjustly obtained funds" or "'restore the status quo,'" such as an accounting for profits or an injunction, they seek equitable relief beyond the scope of the Seventh Amendment. *Ibid.*

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B

When the SEC seeks "disgorgement" under the Exchange Act, it seeks a legal remedy. § 78u(d)(7); see also § 78u(d)(3)(A)(ii).

SEC disgorgement does not resemble any traditional equitable remedy. It does not correspond to the most common forms of equitable relief that involved returning money—constructive trusts and equitable liens. Those restitution-

ary remedies require plaintiffs to trace their original property to "particular funds or property in the defendant's possession," which neither the SEC nor victims of securities fraud can generally do. *Great-West Life & Annuity Ins. Co.* v. *Knudson*, 534 U. S. 204, 213 (2002).

Nor does SEC disgorgement correspond to the "accounting for profits" equitable remedy, as some have argued. That remedy more broadly entitles the plaintiff to the defendant's profits from the "use of" the plaintiff's property without requiring him to trace his original property to the property that he seeks to recover. *Id.*, at 214, and n. 2. But, unlike SEC disgorgement, an accounting for profits is fundamentally "transitive" and involves "an accounting by A to B" for the profits A obtained with B's property. Bray, Fiduciary Remedies 454. It traditionally was limited to cases in which a fiduciary misused his principal's properties or in which the plaintiff had a trust-like interest in the funds sought. See 3 J. Pomeroy, Equity Jurisprudence § 1421 (1883); J. Eichengrun, Remedying the Remedy of Accounting, 60 Ind. L. J. 463, 468, 482 (1985). Recognizing these limits, one treatise explained that generally bank customers could not even seek an accounting in equity from their bankers because the relationship was not a fiduciary one. E. Merwin, Equity and Equity Pleading § 582 (1895). SEC disgorgement is even further afield from equity: The wrongdoer is not necessarily or even ordinarily the victim's fiduciary, and he does not surrender to his victim the profits he made by unlawfully taking advantage of them. Instead, he disgorges them to the SEC, a Government enforcement agency that has no fiduciary or trust-like relationship with the wrongdoer.

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Disgorgement more closely resembles legal restitution than any equitable remedy. In common-law courts, plaintiffs could invoke the writ of assumpsit to "'impos[e] a merely personal liability upon the defendant to pay a sum of money,'" even when the plaintiff could not "'assert title or right to possession of particular property.'" *Great-West*

Life, 534 U. S., at 213; see *Moses* v. *Macferlan*, 2 Burr. 1005, 1012, 97 Eng. Rep. 676, 681 (K. B. 1760). Legal restitution, unlike equitable restitution, does not purport "to restore to the plaintiff particular funds"; it instead vindicates the plaintiff's "'just grounds for recovering money to pay for some benefit the defendant had received.'" *Great-West Life*, 534 U. S., at 213–214. The SEC has no prior claim to ownership of or an interest in the defendant's funds; instead, the SEC takes money from the defendant based on his unjust profit at *investors'* expense. Thus, the disgorgement that the SEC seeks today looks more like legal restitution, for which the Seventh Amendment entitles the defendant to a jury trial.

Congress's decision to enumerate disgorgement as a remedy in the Exchange Act further suggests that it is now a legal remedy. As Judge Smith explained, "explicitly authorizing a remedy in a statute's text" is generally "inconsistent with that remedy's being rooted in equity," as the "historical role for equity" was providing relief where law did not. *Hallam*, 42 F. 4th, at 340. In fact, the core of equity jurisdiction involves cases "where a plain, adequate, and complete remedy cannot be had" through law. 1 Story § 33; see *id.*, § 61; S. Bray & P. Miller, Getting Into Equity, 97 Notre Dame L. Rev. 1763, 1764 (2022) (describing equity as "patching holes" in the system provided by law). Section 78u(d)(7) now expressly provides for disgorgement, so granting that remedy is hardly filling a remedial gap left by the law.

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The statutory structure confirms that Congress provided for disgorgement as a legal remedy in other ways, too. The statute now "twice distinguishes between disgorgement and equitable remedies." *Hallam*, 42 F. 4th, at 339. In § 78u(d)(5), the Act authorizes "any equitable relief," but two subsections later, § 78u(d)(7) provides for "disgorgement," which would be entirely superfluous if disgorgement were a kind of equitable relief. And, in § 78u(d)(8), the Act specifies one limitations period for actions seeking disgorgement and

another for actions seeking "any equitable remedy." "The obvious implication is that 'disgorgement' is not 'equitable relief.'" *Hallam*, 42 F. 4th, at 340.

It makes sense that Congress made disgorgement a legal remedy after *Liu*. Although *Liu* characterized disgorgement as an equitable remedy, it left the requirements for disgorgement unclear. And, because "[d]isgorgement is not a traditional form of equitable relief," lower courts could not rely on historical practice for guidance in implementing the remedy this Court recognized. 591 U. S., at 94 (THOMAS, J., dissenting). Instead, lower courts could resort only to the language in *Liu* itself, which raised more questions than it answered: *Liu* defined disgorgement as "a remedy that compels each defendant to pay his profits (and sometimes, though it is not clear when, all of his codefendants' profits) to a third-party Government agency (which sometimes, though it is not clear when, passes the money on to victims)." *Id.*, at 94–95. Given this vague definition and the doctrine's lack of foundation in equity practice, Congress unsurprisingly responded seven months later by simply turning disgorgement into an enumerated legal remedy.

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Not even the SEC still treats disgorgement as an equitable remedy. To be sure, the SEC maintains that disgorgement is equitable in the hope of continuing to avoid jury trials. Tr. of Oral Arg. 59–62, 75–77. But, the SEC plainly uses disgorgement to collect forfeitures or penalties, even though doing so violates "the general principles of equity." 2 Story § 1494; see *Bangor Punta Operations, Inc.* v. *Bangor & Aroostook R. Co.*, 417 U. S. 703, 717–718, n. 14 (1974). In 2024, the SEC obtained orders to disgorge $6.1 billion, while it returned only $345 million to victims. See Brief for Investor Choice Advocates Network as *Amicus Curiae* 20–21.[2]

[2] At oral argument, the SEC explained that less than $6.1 billion was ever collected, though it could not say how much was collected. Tr. of Oral Arg. 66–67. The SEC also suggested that 88 percent of the disgorged funds that are collected get designated for distribution, though it

It is difficult to see such a practice as anything other than a fines regime, an inherently legal process. See *Jarkesy*, 603 U. S., at 123.[3] The Court appropriately emphasizes that, so long as the SEC continues to seek disgorgement in equity, this practice must change. *Ante*, at 568–569. In a future case, however, we should address whether the SEC should be able to continue seeking disgorgement in equity at all. As it stands, disgorgement bears all the hallmarks of a legal remedy that requires a jury trial.

C

The counterarguments for permitting the SEC to continue seeking disgorgement without a jury trial are unpersuasive.

First, the SEC argued in this case that because disgorgement does nothing more than divest ill-gotten gains, it is "not a penalty and no Seventh Amendment right attaches." Tr. of Oral Arg. 62. The SEC's conclusion does not follow from its premise that disgorgement is not a penalty. Many legal remedies that require jury trials under the Seventh Amendment are not penalties. Plenty of traditional remedies, such as relief in quasi-contract, replevin, or assumpsit, are plainly "legal" in nature, even though they provide restitution and are not penalties. See *Great-West Life*, 534 U. S., at 213, 215.[4] In fact, the quintessential legal remedy requiring a jury trial—compensatory damages—is not a penalty at all; it

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admitted that "doesn't mean it would necessarily have been distributed at the end of the day." *Id.*, at 67.

[3] Disgorgement also appears to be a "coercive penalty for a public wrong," so it would have been understood at the founding as "'punishment' for a 'crime'" for constitutional purposes. *Ellingburg* v. *United States*, 607 U. S. 163, 169 (2026) (THOMAS, J., concurring).

[4] See also Bray & Sherwin 457; C. Roberts, Restitutionary Disgorgement for Opportunistic Breach of Contract and Mitigation of Damages, 42 Loyola (LA) L. Rev. 131, 137 (2008); L. Keele, Only Mostly Dead: How the Irreparable Injury Rule Can Protect the Jury Trial Right for Claims in Restitution, 77 Okla. L. Rev. 569, 593–594 (2025).

simply makes the plaintiff whole for injuries that he should not have suffered in the first place. And, in any event, as the Court points out, there are substantial reasons to conclude that SEC disgorgement functions as a penalty. *Ante*, at 568–569.

Second, the SEC suggested that even if Congress authorized a legal disgorgement remedy in § 78u(d)(7), the SEC can still seek equitable disgorgement under § 78u(d)(5)'s provision for "any equitable relief." See Tr. of Oral Arg. 53–54, 69–70, 73–75. Disgorgement is not in fact a "traditional equitable remedy," so there is no such thing as equitable disgorgement under § 78u(d)(5). *Liu*, 591 U. S., at 93 (THOMAS, J., dissenting).

But, even taking *Liu*'s interpretation of the pre-2021 statute as a given, Congress has amended it. It explicitly separated disgorgement into its own subsection with its own statute of limitations, set apart from the general authorization for equitable relief. That drafting choice suggests that Congress enacted a specific legal regime to control disgorgement going forward. Cf. A. Scalia & B. Garner, Reading Law 183 (2012) (general/specific canon). With the latest amendments to the Exchange Act, it seems that Congress simply "reclassif[ied] the SEC's restitutionary remedy as legal." S. Bray, The Changing Face of the SEC Restitution Remedy, Volokh Conspiracy (Jan. 7, 2021), https://reason.com/volokh/2021/01/07/the-changing-face-of-the-sec-restitution-remedy/ (archived at https://perma.cc/2MN6-RM24). The SEC's current practice reflects this same understanding, as it keeps a significant portion of the disgorged profits as a forfeiture, which is flatly inconsistent with the equitable requirements that § 78u(d)(5) would impose.

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III

We will soon need to address whether disgorgement under § 78u(d)(7) is a legal remedy. The Circuits have already split

on the answer. Compare *Hallam*, 42 F. 4th, at 341, with *SEC* v. *Ahmed*, 72 F. 4th 379, 395 (CA2 2023). In my view, disgorgement is a legal remedy.

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